

inventory levels, the month did not disappoint,” says C.S. Vigneshwar, President of FADA. He adds that the rural market “played a leading role in driving growth, particularly in the two-wheeler and passenger vehicle (PV) segments”.

Vigneshwar says the Union government’s decision to increase the minimum support price for rabi crops further boosted sentiment. Data shows that retail sales grew 32% year-on-year (YoY) in October, with two-wheelers growing 36% YoY, three-wheelers 11%, PVs 32%, and commercial vehicles 6%.

The season is even more crucial for consumer electronics and home appliance makers since it accounts for nearly half of their annual sales. Unlike the last two seasons, in 2024, the industry recorded double-digit growth over last year’s turnover. This was visible particularly in sales of premium 55-inch smart TVs, front-loading washing machines, and multi-door refrigerators. However, sales volumes were lower this year for most manufacturers as mass market products like 32-inch TV sets or direct-cool refrigerators continued to suffer, say industry executives.

Avneet Singh Marwah, Chief Executive Officer of Noida-based manufacturer Super Plastronics, says a downward trend is evident in the entry-level category. “The major reason for the slowdown is that the entry-level category is slowing down the market,” he says. Marwah adds that wages of lower-income households are not growing, and this is the most affected income group in rural and semi-rural regions. Should this continue, some mass-market manufacturers may be forced to exit in 2025, he adds.

“Many consumer electronics brands have already started bleeding. The future lies in the premium segment, though the market size is much smaller than the entry level,” Marwah says.

In the fast-moving consumer

SOME CHEER



In 2024, festive sales saw double-digit growth after poor offtake in the past two seasons



As the rural market bounced back from a slowdown, two-wheeler and PV sales jumped 36% and 32%, respectively, in October



Nearly 4.2 million vehicles were sold during the festive period, topping last year’s tally of 3.8 million units



High-end smart TVs, refrigerators and washing machines attracted buyers from rural and urban markets alike



FMCG makers, however, are cautious as demand from urban middle class slows down

goods (FMCG) sector, too, trends indicate that a section of consumers continues to grapple with inflation. Suresh Narayanan, Chairman and Managing Director of Nestlé India—the country’s largest food and beverage maker—said in a post-earnings briefing that the consumption slowdown may have already seeped into the urban centres.

“Tier I and smaller towns seem to be reasonably stable; rural is really reasonably stable. The pressure points are coming from megacities and metros,” Narayanan said. He added that the market has become polarised, with consumption of premium goods remaining fairly strong but the middle segment, where most FMCG players operate, is shrinking. “The middle class of the country seems to be shrinking,” he added.

Despite these challenges, a section of traders and retailers are satisfied. Praveen Khandelwal, Secretary General of the industry body Confederation of All India Traders (CAIT) and a Member of Parliament, says this Diwali season, sales reached a record of ₹4.25 lakh crore. “The sale of Indian goods increased significantly, with people rejecting Chinese products and fully prioritising local goods. This shift has energised traders, who are now expecting a surge in business during the upcoming wedding season,” he adds.

A complete recovery in demand, however, is some time away. “Megacities and metros will go through their own pain points. Once they come back and rural starts to improve, then we are reasonably on the road to recovery,” said Narayanan. That takes time.

All in all, after a prolonged lull, India’s consumer market pulled off a good show in the festive season, even though a crucial chunk of consumers is yet to hit the shop floors. **BT**

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